

Closing Costs 101

What you'll actually pay at a Georgia closing — and what you can negotiate.

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- Why closing costs are not your down payment
- The four buckets every fee falls into
- Who pays what — and what is genuinely negotiable
- The two Georgia taxes nobody warns you about
- Earnest money and title insurance, explained
- A worksheet for your own numbers

First: they are not your down payment.

This is the one that trips up almost everybody, so I start here every single time.

Your **down payment** is your money going into the house. It becomes your equity the moment the deed is recorded. **Closing costs** are the fees required to legally transfer ownership and complete the transaction. Different pile, different purpose, budgeted separately.

You need both. If you have saved a down payment and nothing else, you have saved for part of the purchase, not for the purchase.

“It’s not the cost, it’s the surprise — and most surprises are preventable.”

Closing costs are the most misunderstood number in a home purchase. Not because they are complicated — they really aren’t — but because most people meet them for the first time on a settlement statement three days before they are supposed to sign.

That is the whole problem, and it is a fixable one. Everything in this guide is knowable weeks before you get to the table. Read it once now, while nothing is on the line, and the closing statement stops being a shock and starts being a checklist.

“The closing table is not the place for first-time questions. Preparation is what creates calm.”

Every figure in this guide is dated and sourced. Fees change, tax rules change, and your own numbers depend on your lender, your price and what you negotiate. Use this to know what to ask — then get your real numbers in writing.

The four buckets every fee falls into.

Every line on that settlement statement belongs to one of four groups. Once you can sort them, the page stops being intimidating.

BUCKET ONE

Loan-related fees

Origination, underwriting, the credit report, the appraisal, and discount points if you buy your rate down. This is what it costs to have someone lend you money.

BUCKET TWO

Title & legal

The title search, the closing attorney and title insurance. In Georgia a licensed attorney conducts your closing — that is not optional here, and it is not a fee you shop away.

BUCKET THREE

Government fees

Recording the deed, the Georgia transfer tax and the intangible recording tax on your loan. Small words, real dollars. Page 05 has the exact rates.

BUCKET FOUR

Prepaid items

Your first year of homeowners insurance, the property tax escrow, and interest for the days between closing and your first payment.

Prepays are not fees.

They are funds set aside for future bills — your insurance, your taxes, your interest. Nobody is keeping that money. You were always going to pay it. It is simply being collected early so the house is never uninsured and the taxes are never late. This is where people feel cheated, and they shouldn't.

Then, separately, there are the real estate commissions, which are set in your contract and your brokerage agreement rather than by anybody's fee schedule.

So who pays what?

Broadly: buyers carry most of the closing costs, but sellers are not off the hook.

If you're buying

2–5%

OF THE PURCHASE PRICE

- Loan fees — origination, underwriting, appraisal
- Title costs and the closing attorney
- Prepays — insurance, tax escrow, interest
- The intangible recording tax on your loan

If you're selling

0.5–1.5%

PLUS COMMISSIONS

- Commissions — much the largest single piece
- The Georgia transfer tax, customarily
- Any credit you agree to give the buyer
- Payoff and lien-release costs on your own loan

“It is different and negotiable every single time.”

Just because someone paid for something the last time you bought a house does not mean they will pay for it this time. Seller-paid closing costs, a rate buydown funded by the seller, a credit in place of a repair — all of that is **written, not assumed**. Which is exactly why who is representing you matters.

Why your number won't match your neighbour's

Two buyers can go under contract on the identical house in the identical week and walk into two genuinely different sets of closing costs. That is normal. It is not a sign that one of them is being taken advantage of.

What moves the number: your **loan type** (conventional, FHA, VA and USDA all price differently), the **purchase price**, the **location**, which **lender** you chose, which **title company and attorney** are handling it, and whatever the two sides **negotiated**.

The two taxes nobody warns you about.

Two of those government line items are specific to this state, and they are worth knowing before you see them on a statement.

WHAT	RATE	WHO IT LANDS ON
Real estate transfer tax	\$1.00 per \$1,000 of price	Paid to the Clerk of Superior Court when the deed is filed. Customarily the seller's line — and like most things here, that is customary, not compulsory.
Intangible recording tax	\$1.50 per \$500 of loan	0.3% of what you borrow, capped at \$25,000 on a single note. The Georgia Department of Revenue puts the liability on the holder of the note — your lender — but read your loan documents, because lenders routinely pass it straight through to you.

The intangible tax applies only to long-term notes, which since July 2025 means any note with principal due more than 62 months out. Your ordinary 30-year mortgage qualifies. Rates per the Georgia Department of Revenue.

What that looks like on a \$450,000 purchase

Purchase price	\$450,000
Loan amount (20% down)	\$360,000
Transfer tax — \$1.00 per \$1,000, customarily the seller	\$450
Intangible recording tax — \$1.50 per \$500 of the loan	\$1,080
Buyer's closing costs at 2–5%, everything in	\$9,000–\$22,500

Illustration only, on round numbers. Your loan type, your lender and your negotiated credits all move these. Explanatory only — not tax advice, not legal advice. Your closing attorney and your tax professional get the final word on your file.

Earnest money, and title insurance.

Earnest money is not a closing cost

It is the deposit you put down to show the seller you are serious. In Georgia it is often around 1% of the purchase price, though there is no rule that fixes it. It is not an extra cost. It is **your money, held, and then credited back to you at closing.**

The arithmetic, because it lands better than the explanation

You're buying a home at	\$500,000
You put down earnest money of	\$5,000
At closing you're told you owe	\$5,000
So what you actually bring	\$2,000

Not \$8,000. Your \$3,000 is already sitting there working for you. And as long as you hold up your end of the contract and stay inside your deadlines, it is refundable. Those deadlines are the part people miss.

Title insurance — the Carfax for your house

When you buy a home you are not just buying the structure. You are buying **the right to own it** without someone appearing later to say *actually, this is mine*. Title insurance protects you from problems tied to the property's past: old liens, unpaid taxes, clerical errors, forged documents, unknown heirs.

- It is a **one-time cost paid at closing** that protects you for as long as you own the home. This is not homeowners insurance. You do not renew it every year.
- **Lender's** title insurance protects the bank — period. If a problem surfaces, the lender gets made whole, not you.
- **Owner's** title insurance is the one that protects you, and it is usually optional. Most buyers never learn they had a choice until it is too late to make one.

“Real estate isn't expensive, but ignorance certainly is.”

Your numbers.

Fill this in with your lender's loan estimate in front of you — they have to give you one within three business days of your application. If a line is blank, that is your next question.

Purchase price	
Loan amount	
Down payment Your equity — not a closing cost	
Loan-related fees Origination, underwriting, credit report, appraisal, points	
Title & legal Title search, closing attorney, owner's and lender's policies	
Government fees Recording, transfer tax, intangible recording tax	
Prepays Insurance, tax escrow, prepaid interest — your own future bills	
Less: earnest money already paid	
Less: seller credit negotiated	
Estimated cash to close	

Ask before closing day, not on it

- ☐ Which of these lines can I shop for, and which are fixed?
- ☐ Is the owner's title policy included in this estimate — and if not, what does it cost?
- ☐ How much of my total is prepaids rather than fees?
- ☐ What would change if I put a different amount down?
- ☐ What is the last day this estimate holds, and what would move it?

Keep a buffer on top of this number. Not because something has gone wrong, but because real estate involves timing, operations and a lot of moving pieces. A cushion is not pessimism, it is planning.

Let's plan the numbers before you fall in love with a house.

Send me what you're planning — buying, selling, or both, and roughly when — and I'll put real numbers to it. No obligation, no pressure, and no surprises at the table.

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Where I work

Metro Atlanta — Atlanta, Gwinnett and Lawrenceville, Peachtree City and Fayette, Sandy Springs, Roswell and Alpharetta, East Cobb and Marietta, Brookhaven, Decatur and Tucker, McDonough and Henry County.

If something in here still isn't clear, tell me and I'll explain it — that is genuinely the job. And if this was useful, send it to someone who is about to buy.

So that's closing costs explained.